

INFLATION, PRICE INDICES AND BUSINESS CYCLES

ECONOMY 03 | continuous at-a-glance master | current-status cutoff 9 September 2026

01

LANGUAGE

Price level is the index; inflation is its rate of change. Disinflation slows the rise, deflation lowers the level, reflation restores depressed demand, stagflation joins inflation with weak activity, and hyperinflation is an extreme self-reinforcing spiral.

DEFINE

Do not confuse level with rate.

02

CAUSE TREE

Demand-pull: spending outruns capacity. Cost-push/supply: inputs or availability worsen. Imported: world prices, freight and exchange rate pass through. Built-in: expectations, wages and mark-ups spread persistence.

TRACE

Shock -> pass-through -> persistence.

03

COMPOSITION

Headline covers the full basket. CFPI isolates consumer food. Fuel identifies energy pressure. Core is an analytical exclusion measure, commonly headline less food and fuel; always state the definition.

SEPARATE

Full basket, components and exclusions.

04

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Full basket, components and exclusions.

CPI 2024

MoSPI/NSO; introduced 12 February 2026; base 2024=100; HCES 2023-24 weights; 358 items; COICOP 2018; Rural, Urban and Combined; Jevons elementary and Young/Modified Laspeyres higher aggregation.

DATE

Base, weights, formula and release.

05

CPI FAMILY

Combined weights include food/beverages 36.753, housing/utilities 17.665 and transport 8.796. Labour Bureau: CPI-IW 2016=100; CPI-AL/RL 2019=100. Each basket has a distinct population and purpose.

MATCH

Population, compiler and purpose.

06

WPI

OEA/DPIIT; 2022-23=100; first current release 15 June 2026 for May. Goods only: Primary 22.75730, Fuel 14.11433, Manufactures 63.12837. Separate PPIs do not place services inside WPI.

BOUNDARY

Goods only; PPIs are separate.

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07

DEFLATOR + FORMULAE

GDP deflator = nominal GDP / real GDP x 100; domestic final output, variable mix, imports excluded directly. Laspeyres uses q_0 , Paasche q_t , Fisher $\sqrt{L \times P}$.

FORMULA

Basket and production boundary decide meaning.

08

MEASUREMENT RISKS

Base effects differ from momentum. Control seasonality, substitution, quality change, new goods, outlets and missing prices. Never splice raw levels across a base revision; use official links/back series.

VERIFY

Momentum, base, quality and series break.

09

REAL EFFECTS

Real rate approximately equals nominal rate minus expected inflation. Unexpected inflation redistributes fixed nominal debt, erodes cash and unindexed wages; indexation leaves basis and lag risk.

DISTRIBUTE

Contracts and expectations decide incidence.

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PHILLIPS CURVE

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PHILLIPS CURVE

Short-run demand trade-off is conditional. Expectations shift the curve; long run is vertical. NAIRU is estimated and changing. Supply shocks can raise inflation and unemployment together.

QUALIFY

Short-run relation; no permanent menu.

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BUSINESS CYCLE

Trough -> recovery -> expansion -> peak -> contraction. Output gap compares actual and potential. Use leading/coincident/lagging indicators. Two negative q-o-q quarters is only technical shorthand; India has no statutory dating committee.

DATE CYCLE

Use breadth, seasonality and revisions.

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POLICY + ANSWER

Define and date measure -> diagnose shock/breadth -> locate cycle -> trace real/distribution effects -> RBI for demand/expectations -> fiscal/supply repair -> qualify lags, incentives and revisions -> balanced verdict.

WRITE

Measure -> mechanism -> instrument -> limit.